

The 6:15

WEDNESDAY · AUGUST 19, 2026

NO. 5

THE BOARD

CALENDAR · NEXT 10 DAYS

Wed 8/19	FOMC July minutes, 2p ET; TJX premkt (cons. EPS \$1.19, rev \$15.17B); Target, Lowe's premkt; 20-yr Treasury auction
Thu 8/20	Walmart premkt (cons. EPS \$0.73–0.74, rev ~\$186.7B); Deere, Ross Stores; jobless claims
Mon 8/25	Intuit, Dick's Sporting Goods report
Wed 8/26	Nvidia aft. close (rev cons. ~\$91–95B); Salesforce, CrowdStrike aft. close; July PCE, Q2 GDP (2nd est.), durable goods, 8:30a
Thu 8/27	Marvell aft. close; jobless claims; Jackson Hole opens through 8/29
Fri 8/28	Fed Chair Warsh's first Jackson Hole keynote
Tue 9/16	Next FOMC decision

House returns from recess 8/31 (Senate out until 9/14); reconciling with the Senate's 90-6, Dec-11 CR not expected before the first week of September. No AI-model release, VC round, or rocket launch verified in the last 24–48h — omitted rather than padded.

METRICS · ~6:20A ET UNLESS NOTED

Brent (ICE front)	\$91.78, +0.99% overnight — 4th straight up session, ~+27.5% vs. pre-crisis ~\$72
WTI (NYMEX front)	\$84.37–85.18 (sources unreconciled)
Brent-WTI spread	~\$6.6–7.4 (range, unresolved)
UST 2Y/10Y/30Y	4.175% / 4.70% / 5.285% — 30Y hit 5.33% intraday Tue, a 19-yr high
DXY	99.46, -0.20% (near 2-mo lows)
S&P / Nasdaq-100 fut.	-0.18% / -0.37% (premarket)
VIX	15.84 (Tue close, +4.28%)
Gold (spot)	\$4,339.41, +0.10%

Nikkei / Hang Seng / KOSPI	65,703.78 -2.6% / 25,382.66 -0.4% / 6,471.17 -5.8% (Wed closes; KOSPI circuit breaker)
----------------------------	---

Europe (Stoxx 50/600)	6,530 -0.1% / 656 -0.2% (Tue close, no fresh Wed print by press time)
-----------------------	--

Retail gas, natl. avg.	\$4.0656/gal (AAA, 8/19)
------------------------	--------------------------

Crude sources of record: ICE Brent front-month, NYMEX WTI front-month. WTI level unreconciled between aggregators for a second issue running.

HORMUZ COUNTERS · STRAITS.LIVE, 19 AUG 1008Z UNLESS NOTED

Closure	Day 171
---------	---------

Transits vs. baseline	1 vessel (8/16) vs. 73/day pre-crisis — 1% of normal throughput
-----------------------	---

Weekly transits	78 total, wk of 8/3–8/9, down from 95 prior wk (Lloyd's List Intelligence) (no fresher print verified)
-----------------	---

Strikes, 24-72h	2 projectile strikes on bulk carriers, 1 killed/1 injured; separate cargo vessel off Yemen a constructive total loss
-----------------	--

Dark tankers	42 of 144 screened vs. 65.3 7-day avg (screened universe changed — not comparable to prior issue)
--------------	--

War-risk premium	40.0x pre-crisis (up from 30.0x), ~\$10.0M/VLCC; 6 P&I clubs have withdrawn coverage
------------------	--

PortWatch/IMF (AIS movements, multi-day lag), Lloyd's List (weekly commercial transits >10,000 dwt, Iran-link attributed), and straits.live (blended war-risk quotes + dark-ship detection, narrower screened universe) count different populations on different cadences — don't net or average them.

TRANSACTIONS

Yankees / Knicks / Northwestern	No reported roster moves in the last 24 hours; Josh Hart's extension (eligible since 8/10) remains unsigned.
---------------------------------	--

LEAD

MOU EXPIRES, TRUMP THREATENS OMAN

US-Iran truce deadline lapses as UAE says it intercepted two Iranian missiles — and the 30-year Treasury hits a 19-year high hours before FOMC minutes

The 60-day window Washington and Tehran gave themselves in June's Islamabad-brokered memorandum of understanding to reach a "final deal" expired Monday with no agreement. **[NEW]** Asked if he'd extend it, Trump told reporters "No," said he was in no rush, and separately claimed his administration has established a direct backchannel to Iran's Revolutionary Guard Corps — a claim the IRGC's spokesman, Brig. Gen. Hossein Mohbehi, called "delusions and nightmares...caused...by defeat and desperation in the war." Iran's foreign ministry piled on a second denial, with spokesman Esmail Baghaei separately rejecting reports of unofficial U.S.-IRGC contact via Iraqi Kurdistan officials and an alleged secret meeting in Erbil. **[NEW]** In the same Fox News interview, Trump turned on Oman, the mediator that brokered the still-unfinished shipping-lane technical deal with Iran: "If Oman gets in the way, we'll bomb the s--- out of them." **[NEW]** It's the second time this year Trump has threatened a Gulf state with no history of conflict with Washington and a record of quietly freeing detained Americans; Oman's government issued no public response, though Omani social-media commentators pushed back openly. *[read: singling out the mediator, not Tehran, suggests the White House dislikes the substance of the emerging Iran-Oman route — a fee-free transitional period with inbound traffic in a northern lane through Iranian waters and outbound in a southern lane through Omani waters, coordinated via a proposed joint center — more than it's willing to say directly]*

The deadlock escalated further Tuesday evening: UAE air defenses detected and intercepted two ballistic missiles fired from Iran toward the country, the first falling outside territorial waters and the second within them; an emergency alert went out across several emirates around 6:52p local before being lifted ten minutes later, with no ca-

sualties reported. **[NEW]** It's the first direct Iran-on-UAE missile launch acknowledged in months, a step beyond the ADNOC tanker strikes of the past week (see Iran & Hormuz).

Markets are treating the deadlock as durable, not headline, risk. Brent is bid to \$91.78 (+0.99%) this morning, a fourth straight session of gains and roughly 27.5% above the pre-crisis ~\$72 benchmark. **[NEW]** That's compounding a separate stress that was already building: the 30-year Treasury yield hit 5.33% Tuesday, a 19-year high, on twin worries — a \$432.3B July fiscal deficit, the highest monthly total since March 2021 with a fiscal-year-to-date shortfall near \$1.8T, and inflation that isn't cooperating just as oil turns higher again. **[NEW]** That's the backdrop for today's 20-year bond auction and the 2p ET release of FOMC July minutes, the first look at how explicitly the meeting's three hawkish dissenters — Cleveland's Hammack, Minneapolis's Kashkari, and Dallas's Logan, the most divided vote since September 2016 — argued for a hike the committee didn't take. **[DEVELOPING — see Economics]**

Equities and Asia are pricing the yield spike more than the Hormuz story directly, though the two are now feeding each other. The S&P 500 fell 0.7% Tuesday to 7,691.76, a third straight loss since last Thursday's record close, on a chipmaker selloff tied to rate-sensitive AI-infrastructure names — Nvidia fell 2.3% on 102M shares traded, AMD 4.3%. Futures are down another 0.18%/0.37% (S&P/Nasdaq-100) this morning. **[NEW]** Asia caught it harder: South Korea's KOSPI plunged 5.8% to 6,471.17 on volume of 302M shares worth roughly \$16.4B, triggering a sell-side circuit breaker within minutes of the open as Samsung and SK Hynix fell 7.5% and 9.9% on chip-sector contagion, and Kioxia dropped double digits; the Nikkei fell 2.6% to 65,703.78. **[NEW]** *[read: the mechanism running through*

both stories is the same one — higher-for-longer real yields are repricing the market's most capital-intensive, most-crowded trade (AI infrastructure) at the same moment a geopolitical premium is showing up in headline energy costs, a combination that squeezes the Fed from both directions heading into a minutes release, a 20-year auction, and a Jackson Hole keynote that were already going to be read for daylight between Chair Warsh and his three hawkish dissenters. It also raises the stakes on Nvidia's Aug. 26 print: a name already trading as a rates proxy reports one day after the PCE/GDP/durable-goods cluster that will be the next major input into that same rate debate.]

POLITICS

Wyoming held its primary Tuesday: state Sen. Eric Barlow won the Republican gubernatorial nomination over Trump-endorsed Megan Degenfelder; Rep. Harriet Hageman won the Republican Senate primary, and James Byrd won the Democratic Senate primary. **[NEW]** Both advance to the Nov. 3 general. The funding standoff is otherwise unmoved: the House returns from recess Aug. 31 (the Senate is out until Sept. 14) and isn't expected to vote on reconciling its own Dec.-4 CR with the Senate's 90-6, Dec.-11 version until the first week of September, leaving roughly three weeks to avoid an Oct. 1 shutdown. **[DEVELOPING]** The White House's Aug. 26 deadline for Fed Governor Lisa Cook to respond to renewed mortgage-fraud removal allegations is unchanged and now one week out — landing the same day as Nvidia's earnings and the PCE/GDP/durable-goods data cluster, and one day before Warsh's first Jackson Hole keynote as chair, stacking a Fed-independence fight directly on top of the rate-path debate. **[DEVELOPING]**

ECONOMICS

No fresh headline print landed overnight; today's action is entirely about what's coming. CME-implied odds of a September hike sat at roughly 30-35% as of Aug. 18, little changed from the 31-33% estimate carried in the last issue — trading a live range rather than settling, per the tool's own caveat. **[DEVELOPING]** The FOMC's July minutes, due 2p ET, are the session's real catalyst: markets want to see how far the three hawkish dissenters — Hammack, Kashkari, Logan — pushed their case in the room, whether any majority member expressed sympathy, and whether Hormuz-driven energy costs show up explicitly in the committee's discussion. **[DEVELOPING — see Lead]** A single dissent at an FOMC meeting is routine; two is notable; three pointing the same direction, on a committee under a chair who has pledged less forward guidance than his predecessor, is close to the Fed's loudest internal alarm short of an actual hike — which is why the minutes carry more weight than usual this cycle. A \$432.3B July fiscal deficit (see Lead), the largest monthly shortfall since March 2021, also puts fresh weight behind today's 20-year Treasury auction as a demand test, one day before Thursday's jobless-claims print.

BUSINESS

Home Depot's actual Q2 print, previewed in the last issue only as a consensus, beat: adjusted EPS \$4.92 vs. \$4.73 expected, sales \$47.9B (+5.7% YoY, +\$2.6B), net earnings \$4.8B, U.S. comparable sales +1.3% (total comps +1.7%); the company reaffirmed full-year guidance, and shares bucked Tuesday's broader selloff to gain over 1%. **[NEW]** Three more retailers report before today's open — Target, Lowe's, and TJX (cons. EPS \$1.19, revenue \$15.17B, which

would be +8.2%/+5.3% YoY) — all ahead of this issue's press time; results aren't confirmed as of press time and will supersede in the next issue. Walmart, Deere, and Ross Stores follow Thursday, rounding out the first full consumer-health read since last week's retail-sales miss and landing directly against this morning's rates-driven risk-off tone.

TECHNOLOGY

Tuesday's chipmaker selloff (see Lead) was broad and rate-driven rather than company-specific: Nvidia -2.3% on 102M shares traded, AMD -4.3%, with the 30-year yield spike cited directly as the near-term headwind. **[NEW]** The contagion hit Asia's supply chain harder overnight — Samsung -7.5%, SK Hynix -9.9%, Kioxia down double digits — pulling the KOSPI into its circuit breaker (see Lead). **[NEW]** *[read: Wall Street's 2026 narrative had shifted from training-cluster buildout to inference monetization; a rate spike reintroduces the older, capital-intensity-driven selloff pattern for the same stocks]* Nvidia's Aug. 26 earnings, unchanged on the calendar, now lands squarely inside this de-rating question.

GEOPOLITICS

Russia and Ukraine traded another high-volume exchange overnight. Ukraine sent roughly 620 drones at Moscow and its surroundings Monday into Tuesday, per Mayor Sobyanin; Russian authorities said 180 were shot down over the Moscow region, with a Wildberries warehouse damaged. **[NEW]** Russian officials reported 9 killed and 23 injured, including a child, in Ukrainian strikes, with 8 of those deaths in the Belgorod region in the past 24 hours. **[NEW]** Russia struck one of Ukraine's DTEK thermal power plants Aug. 18, severely damaging equipment and halting generation. **[NEW]** The Trump-Xi summit remains on the calendar for Sept. 24 with export controls and rare-earth restrictions the live friction point heading in; nothing new on that track verified this run.

IRAN & HORMUZ

Beyond the missile intercept and MoU expiry (see Lead), the Iran-Oman shipping-lane technical deal advanced on detail without resolving the underlying dispute: Tehran's foreign ministry says a route map is agreed — inbound traffic through a northern lane in Iranian waters, outbound through a southern lane in Omani waters, a proposed joint coordination center to manage traffic and collect vessel information, and a fee-free transitional period with no tolls — but Iran continues to say the strait won't actually reopen until the U.S. naval blockade lifts and other conditions are met. **[DEVELOPING]** Parliament Speaker Ghalibaf added a public list Monday: Iran wants U.S. sanctions on its oil lifted and military threats ended before it will reopen the strait, alongside a separate trip to Iraq on bilateral security and border issues. **[NEW]** *[flag: single wire pickup, not cross-*

verified] Two more projectile strikes hit bulk carriers in the last 24-72 hours, killing one seafarer and injuring another; a separate cargo vessel off Yemen was declared a constructive total loss after multiple strikes, and maritime intelligence flagged a sharp course deviation by a Liberia-flagged product tanker southeast of Qeshm Island alongside a 64-nautical-mile oil slick traced to a dark, stationary VLCC in the southeastern waiting area. **[NEW]** War-risk insurance premia jumped to 40.0x pre-crisis levels from 30.0x in the last issue, with six P&I clubs now having withdrawn coverage entirely. **[NEW]** Straits.live's dark-tanker count — 42 of a 144-vessel screened universe vs. a 65.3 seven-day average — reflects a change in the tracker's screened population since the last issue and isn't directly comparable to the prior count; treat it as a fresh baseline, not a decline. *[flag: methodology shift]*

SPORTS

Yankees	Beat Baltimore 3-1 (Tue 8/18) on Trent Grisham's 17th HR and a two-run single; 70-55, hold the AL's top Wild Card spot, Tampa Bay leads the East.
Knicks	Off-season, no game. Josh Hart's extension (eligible since 8/10) still unsigned.
Northwestern	Off-season, no game. Opener remains Sat 9/5, 7:00p CT vs. South Dakota State.

Continuity. Dropped once resolved: Target/Lowe's/TJX (pending at press time, replace consensus with actuals next issue); today's FOMC minutes and dissent framing (replace preview with substance); the 20-year auction (replace with result); Wyoming primary (result now established). Watching: whether Trump follows through on Oman or walks it back; independent confirmation (or not) of the IRGC-backchannel claim; the Aug. 26 Cook deadline; Nvidia's Aug. 26 print inside the current rates de-rating question; a same-methodology Hormuz dark-tanker comparison next issue.

Unverified figures are marked in red. Nothing was estimated or filled from memory.